

THE EQUITY EXPRESSION OF THE AI CAPEX THESIS

The Bill Arrives Before the Benefit

Microsoft told investors on Wednesday night it intends to spend \$255–260 billion next fiscal year building artificial-intelligence infrastructure — roughly a third more than the \$190 billion already framed for 2026. Meta nudged the floor of its own capex range higher and warned that costs are climbing faster than revenue. Meanwhile a memory-chip maker posted a 557% jump in operating profit and fell 13% in a single session. Those three facts, taken together, tell you almost everything about where this market's anxiety now lives.

Method note: every external figure below is sourced and dated; internal Heyokha Investment Wiki material is labelled as a view, not a verified forecast. Prices and index levels as of the close on 29 July 2026 unless stated otherwise.

Reframing the theme

AI Capex is usually discussed as a technology question — will the models get good enough? The market has quietly stopped asking that. The live question in July 2026 is a *financing* question: who pays for the buildout, over what timetable, and what happens to reported earnings when the depreciation finally catches up with the cash that has already left the building.

Imagine an airline that orders five hundred aircraft for delivery over four years. The cash for the deposits leaves the account immediately. But accounting says you only recognise the cost of a plane gradually, across its twenty-year flying life. So for a while, something strange happens: the profit-and-loss statement looks magnificent while the bank balance drains away. The airline is not lying. It is simply reporting a long-lived asset in the way the rules require. The danger is not the accounting — it is what happens if the planes arrive and the seats are empty. And in this particular case, roughly half the seats have been pre-booked by just two customers, neither of whom has ever turned a profit.

That is, in miniature, the position of the world's largest technology companies in the summer of 2026. The capital-expenditure numbers are now so large they have escaped the gravity of ordinary corporate finance and entered the realm of national accounts. And this week the market began pricing the possibility that the bill has arrived several years before the benefit.

THE STORY IN 60 SECONDS

\$255– 260bn

Microsoft's capital-expenditure guidance for fiscal 2027, against roughly \$190bn framed for calendar 2026 — about a 35% step up. The company also beat on the quarter: revenue \$90.01bn, +18% year on year. *Company guidance, reported 29 Jul 2026.*

9 – 3

The FOMC vote to hold the policy rate at 3.50–3.75%. Three regional Fed presidents dissented in favour of a *hike* — the first time since September 2016 that three officials dissented in the same direction. Inflation has run above target for more than five years. *Fed / CNBC / Bloomberg, 29 Jul 2026.*

–13%

SK Hynix's one-day share fall despite record results: operating profit of KRW 60.5trn, up 557% year on year. Revenue of KRW 79.3trn missed the roughly KRW 84trn consensus. Good news was not good enough. *Company / Investing.com, 28–29 Jul 2026.*

Why a rate decision and a memory chip belong in the same story

On the surface these are unrelated events — a monetary-policy decision in Washington and a quarterly report in Icheon. Underneath, they are the same event seen from two angles.

The AI buildout is a long-duration bet. You spend cash today for revenue that arrives in three, five, or ten years. The value of that future revenue, expressed in today's money, depends entirely on the discount rate — and the discount rate depends on the Fed. A committee with three members openly arguing for higher rates is a committee that has made long-duration bets more expensive to hold. That is why the Dow fell 2.19%, the S&P 500 1.52% and the Nasdaq 1.74% on Wednesday, and why the selling was concentrated in exactly the names whose value sits furthest out in the future.

SK Hynix supplies the other angle. It makes high-bandwidth memory — the stacked DRAM that sits next to an AI accelerator and feeds it data. Its results were, on any absolute measure, spectacular. The market sold it anyway, because a revenue miss in the most supply-constrained part of the AI supply chain reads as a demand signal, not a company-specific stumble. When the bottleneck stops being the bottleneck, someone has stopped ordering.

1. The spend is committed

Capex is guided years ahead and locked into multi-gigawatt contracts, chip orders and data-centre leases. It cannot be dialled back quickly without conceding competitive ground.



2. Earnings flatter, cash drains

Cash leaves now. Depreciation is recognised over five or six years. Reported profit therefore looks better than the cash position for as long as spending is accelerating.



3. The gap is filled with debt

When capex exceeds operating cash flow, the difference must be borrowed or raised. The buildout stops being a technology story and becomes a credit story.

THE ESSENTIAL DISTINCTION

Depreciation is not a cost you avoid. It is a cost you have already paid and have not yet admitted to. The cash left the building the moment the order was placed.

The scale, in three numbers

The aggregate is what makes this a macro story rather than a sector story. Consensus estimates for combined hyperscaler capital expenditure have roughly doubled in two years, and are expected to rise again next year.



Source: consensus estimates as compiled in FactSet Insight coverage of hyperscaler financing, July 2026. The Heyokha Wiki carries a slightly different vintage of the same series — \$695bn for 2026E and \$870bn for 2027E, per *Greed & Fear*, 23 July 2026. Both point the same direction; the precise level depends on which companies are included and when the estimate was struck.

Company-level guidance for calendar 2026 gives the shape of it. Alphabet has raised its number twice this year and its chief financial officer has said 2027 will "significantly increase" again.



Sources: Alphabet Q2 2026 results, 22 Jul 2026 (\$195–205bn, raised from \$180–190bn; Q2 capex \$44.9bn, double the year-ago quarter). Microsoft, calendar-2026 framing per earnings coverage, 29 Jul 2026. Meta Q2 2026 results, 29 Jul 2026 (\$130–145bn, raised from \$125–145bn at the low end). Bars are scaled to the largest figure shown.

What actually changed this week

WHAT HAS CHANGED

WHAT IT LOOKS LIKE

WHY IT CUTS BOTH WAYS

Capex guidance moved up again, not down

Microsoft to \$255–260bn for FY27; Alphabet to \$195–205bn for 2026; Meta's floor raised. Nobody blinked.

Bullish read: companies with the best visibility into demand are spending more, not less. **Bearish read:** in a competitive arms race, spending more is what you do when you cannot afford to be seen spending less.

Operating costs outran revenue at Meta

Revenue +28% to \$60.8bn; operating expenses +55%; operating income –8%. Shares fell around 5% after hours.

Revenue growth is genuinely strong. But the market has switched from rewarding the spend to interrogating the return on it — a change of question, not of facts.

Free cash flow is being consumed

Combined hyperscaler free cash flow is projected to fall 91% to roughly \$16bn in 2026 even as combined net income rises about 25% to some \$506bn.

These are still enormously profitable businesses. But the cash cushion that justified their valuation premium is being converted into physical plant with an uncertain payback period.

The funding mix has shifted to debt

Incremental annual debt has gone from 9% of capex in FY24 to 32% on a last-twelve-months basis by mid-2026. The Bank of England flagged the trend in its July Financial Stability Report.

Borrowing at investment-grade spreads to fund high-return assets is rational capital allocation. It also means the equity story now has a credit-cycle dependency it did not have two years ago.

The Fed turned less accommodating

Hold at 3.50–3.75% on a 9–3 vote, with all three dissents favouring a hike. Markets read September as live for an increase.

A stronger economy supports AI demand. A higher discount rate lowers what that demand is worth today. For long-duration assets, the second effect usually dominates in the short run.

A USEFUL MENTAL MODEL

Think of AI capex as a bridge under construction. The engineering is sound and the traffic forecast may well be right. The question is whether the financing runs out before the far bank is reached.

The internal view: two researchers, two different worries

The Heyokha Investment Wiki's AI Capex file is unusual in that its two principal sources have converged on the same conclusion from opposite directions — and both worries are alive in this week's tape. What follows are *views held by named research sources*, not verified forecasts.

Chris Wood (Greed & Fear, 23 July 2026) has developed what the Wiki summarises as a credit-bubble reading. His argument is that the demand you can see on hyperscaler balance sheets is largely a promise rather than a receivable. Remaining Performance Obligations — contracted future revenue — had

surged 184% over four quarters to \$2.1 trillion at the end of Q1 2026, and per the Groundbreaker report he cites, roughly half of that is owed by OpenAI and Anthropic. He characterises this as concentrated unsecured lending to two cash-burning laboratories. He also points to \$1.65 trillion of off-balance-sheet commitments (Nikkei Asia, 21 July 2026) sitting alongside about \$1.35 trillion on the balance sheets, hyperscalers issuing \$194 billion of investment-grade debt year to date — the largest single-issuer category, against energy's \$55 billion — and to earnings quality: "other non-operating income" accounted for \$71.5 billion of a \$106.6 billion year-on-year rise in hyperscaler annualised earnings. He compares this to *zaitech*, the financial engineering of late-1980s Japan. His recommendation is to accumulate gold and gold-mining equities ahead of a dislocation.

Ignacio de Gregorio (White Box, 28 July 2026) published, two days before this edition, a reversal of his own long-standing scepticism. His prior position was that AI is "a commoditized technology running on non-commoditized hardware." He now argues that NVIDIA's Vera Rubin architecture solves the margin problem: because inference is memory-bound rather than compute-bound, tripling memory bandwidth to 22 TB/s (from Blackwell's 8 TB/s) roughly triples token throughput without touching the compute. At 65% utilisation and a blended price of \$1 per million tokens, his calculation gives about \$16.4 million of revenue per megawatt per year — a roughly three-year payback against a six-year depreciation schedule. His conclusion is pointed: the market is *too pessimistic on margins and too optimistic on demand*. The unresolved risk is not whether AI can be profitable. It is that the demand is concentrated on two customers.

Note the convergence. One arrives at customer concentration through credit analysis; the other arrives at it through unit economics. Neither disputes that the technology works. Both worry about the same two names.

The bull case, fairly stated

- **Unit economics are improving fast.** Vera Rubin's memory-centric design delivers a reported 800,000 tokens per second per megawatt, described in Wiki-cited work as roughly a tenfold improvement over Blackwell. Falling cost per useful output is the single most important variable, and it is moving the right way.
- **The spending is landing on real, physical demand.** 13D Research projects data-centre electricity consumption rising from 1.0–1.5% of global generation to about 4.5% by 2030. That load growth creates investable second-order themes — grid, gas, nuclear, copper — whose returns do not depend on any single AI application succeeding.
- **The revenue is showing up somewhere.** Alphabet's cloud revenue grew 82% year on year in Q2 2026. Microsoft beat on both revenue and earnings this week. This is not a sector with no customers.
- **Balance sheets remain formidable.** Combined net income for the group is projected around \$506bn in 2026. Borrowing at investment-grade spreads against that earnings base is a long way from distress.

The bear case, fairly stated

- **The depreciation wall is arithmetic, not opinion.** The five largest hyperscalers are on track to spend roughly \$760bn in 2026 while recognising only about \$211bn of depreciation. The remaining \$549bn sits on balance sheets awaiting recognition. If the assets' useful life is three to four years rather than five to six — a live debate, given compute is around 60% of the 2026 mix — reported margins compress materially.
- **Cash flow crosses over this quarter.** Epoch AI projects aggregate cash capex overtaking operating cash flow around Q3 2026. PIMCO's estimate has capex consuming roughly 94% of operating cash flow across 2026–27.
- **Demand may be partly manufactured.** The Wiki records Michael Burry's May 2026 "tokenmaxxing" argument: that mandated, leaderboard-driven internal AI usage inflates the demand signal during the training-data harvesting phase, and compresses once firms move to in-house models. This is a contested view, and one that the Wiki explicitly flags as contradicted by AI bulls.
- **Architectural risk to today's winners.** Qualcomm's claimed hybrid-bonded memory design (133 TB/s, per company claims cited in the Wiki) would bypass both the HBM and CoWoS bottlenecks. If credible, it threatens the pricing power of exactly the memory names that have led this cycle.

What to watch

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Amazon and Apple results, this week	Amazon is the last of the big spenders to guide. Apple is the control group — a mega-cap with minimal AI capex.	If Amazon raises capex and falls while Apple holds up, the market is explicitly repricing the spend rather than the sector.
Hyperscaler credit spreads	The Wiki records widening through July: Amazon 61 → 78bp, Alphabet 57 → 70bp, Meta 87 → 104bp over Treasuries (Bloomberg, per <i>Greed & Fear</i>).	Credit usually notices funding strain before equity does. Sustained widening would validate the credit-bubble framing.
Oracle's rating and CoreWeave CDS	Oracle was downgraded to BBB– on 9 July, one notch above sub-investment grade; its 10-year spread went 176 → 219bp. CoreWeave five-year CDS is quoted at 701bp.	These are the leveraged expressions of the theme. They break first if financing tightens.
Asset useful-life assumptions	Watch for any company shortening the assumed life of compute hardware in its accounts.	A move from six years to four would raise depreciation sharply and hit reported earnings across the group simultaneously.
OpenAI and Anthropic revenue trajectory	The Wiki notes Anthropic's run rate moving from roughly \$9bn to about \$50bn within months, and estimates that \$300–400bn of annual revenue would be needed across both labs to service committed spend.	This is the load-bearing wall. Both the bull and bear cases reduce to whether these two companies keep compounding.
September FOMC pricing	Three hawkish dissents put a hike back on the table for the first time in years.	The discount rate applied to a decade-long payback is the difference between an expensive asset and an unaffordable one.

How to think about the menu

Picks and shovels

Semiconductors, memory and networking. Highest operating leverage to the spend and the clearest revenue line — but also the most exposed to any order-book pause, as SK Hynix's 13% day demonstrated. The Wiki notes this is Chris Wood's preferred expression despite his bearishness on the cycle overall.

Power and materials

Grid equipment, gas, nuclear, uranium, copper. Cash-flow generative on the electricity demand alone, and less dependent on any particular AI application succeeding. Slower, less spectacular, and subject to its own permitting and commodity cycles.

The abstainers

Large-cap technology that is *not* spending heavily. Apple is up about 25% this year and briefly touched a \$5trn market capitalisation on 28 July, having passed NVIDIA as the most valuable listed company — a rotation the market read as investors stepping away from the capex-heavy story. The risk is symmetric: abstaining also means forgoing the upside if the buildout pays.

NVDA

NVIDIA Corporation

\$196.92
~\$4.84trn cap

The purest expression, and the most crowded. Gross margins reported above 75% mean it captures a disproportionate share of every dollar spent. It has also slipped from the top of the market-cap table as OpenAI, Amazon and Google ship more of their own custom silicon.

WATCH NEXT

Whether Vera Rubin's performance-per-watt gains hold in production, and whether custom accelerators keep eroding share at the margin.

MSFT

Microsoft Corporation

Q4 FY26
reported 29 Jul

Beat cleanly on the quarter — revenue \$90.01bn, +18%; adjusted EPS \$4.74 against a \$4.24 consensus — then guided FY27 capex to \$255–260bn. The tension is that the stock had been trading near a one-year low into the print despite the operating strength.

WATCH NEXT

Azure growth versus the capex line. Guidance had been 39–40% at constant currency with capacity constrained; sustaining that is what justifies the spend.

GOOGL

Alphabet Inc.

Q2 capex
\$44.9bn

Cloud revenue grew 82% year on year, which is the strongest single piece of evidence that the spend is converting. But capex guidance has been raised twice this year, to \$195–205bn, and the CFO has flagged a significant further increase for 2027. The Wiki notes an \$85bn equity raise in June 2026.

WATCH NEXT

Whether cloud growth stays ahead of the capex ramp, and the mix between own-TPU and purchased GPU capacity.

META

Meta Platforms, Inc.

Q2 rev
\$60.8bn, +28%

The clearest case of good revenue meeting worse cost discipline: operating expenses up 55%, operating income down 8%, full-year expenses guided to \$165–169bn. Capex range floor raised. Shares fell roughly 5% after hours. Meta has 3.5 billion users and is still signing external compute deals.

WATCH NEXT

Q3 revenue guidance of \$61–64bn versus the expense trajectory. This is the cleanest test of whether AI spend converts into advertising revenue.

000660.KS

SK hynix Inc.

–13% in
one session

This week's catalyst. Record operating income of KRW 60.5trn (+557% YoY, +61% QoQ) on revenue of KRW 79.3trn that missed roughly KRW 84trn expectations. HBM4 mass-production shipments began in the quarter with long-term supply agreements signed with around ten customers.

WATCH NEXT

Second-half HBM capacity additions against pricing. Also whether non-HBM architectures such as Qualcomm's claimed hybrid-bonded design gain any customer traction.

AAPL

Apple Inc.

+25% YTD
touched \$5trn

The counterweight. Briefly reached a \$5trn market capitalisation on 28 July, becoming only the second company to do so, a day after overtaking NVIDIA as the most valuable listed company. Coverage attributed the move to investors rotating away from hyperscalers with heavy AI capital expenditure.

WATCH NEXT

Whether the abstention holds. If a genuine consumer AI application emerges, being capex-light becomes a liability rather than a virtue.

The bottom line.

The AI capex thesis has stopped being an argument about whether the technology works. On the evidence of this week, it barely even is one about whether the infrastructure can be profitable — the Wiki's own most persistent sceptic reversed on that question two days ago, on the grounds that memory-centric hardware makes inference pay back in about three years against a six-year depreciation schedule. What remains is narrower, harder and considerably less comfortable: the buildout is now large enough to require external financing, the financing is arriving as debt, the demand behind roughly half of the contracted revenue sits with two loss-making companies, and the central bank has three votes arguing for a higher discount rate. Every one of those facts is compatible with the thesis being right. Several of them are also compatible with it being right too late, which for anyone holding the equities is a distinction without a difference. The 1999–2002 precedent that *Greed & Fear* keeps returning to is not a claim that the internet was a bad idea. It is a reminder that being correct about the destination told you almost nothing about the route.

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Sources and update notes

INTERNAL — Heyokha Investment Wiki. Theme file: *AI Capex* (aliases: ai-capex-bubble-risk, ai-infrastructure, hyperscaler-capex, ai-spending), last reviewed 28 July 2026. Read in full via the Wiki browser on 30 July 2026. Underlying internal sources cited in that file and drawn on above: *Greed & Fear* (Chris Wood) issues of 2 Jan 2025, 9 Jan 2025, 7 Aug 2025, 14 Aug 2025 and 23 Jul 2026 — the credit-bubble angle, RPOs, off-balance-sheet commitments, spread data and the *zaitech* earnings-quality argument; White Box (Ignacio de Gregorio) issues of 1 Jun, 4 Jun, 10 Jun, 13 Jun, 15 Jun, 18 Jun, 25 Jun and 28 Jul 2026 — capex per gigawatt, token cost structure, the debt-financing analysis produced with JPMorgan's Eye on the Market team, and the 28 July reversal on inference profitability; 13D Research WILTW, 19 Dec 2024 — the general-purpose-technology bull case and data-centre load projections; Michael Burry, "The Heretic's Guide to AI's Stars Part III," 23 May 2026 — the tokenmaxxing and bezzle arguments; Groundbreaker, "The Second Derivative," 2 Jul 2026 — RPO attribution. All of the above are views, some of them explicitly contradictory, and the Wiki flags those contradictions directly.

EXTERNAL — public sources, with as-of dates.

1. CNBC, "Divided Fed holds interest rates steady, but three members voted to hike," and Fed meeting recap — policy rate 3.50–3.75%, 9–3 vote, dissents by Hammack, Kashkari and Logan; 29 Jul 2026.
2. Bloomberg, "Fed Holds Rates Steady as Three Officials Dissent in Favor of a Hike" — first three-way same-direction dissent since September 2016; 29 Jul 2026.
3. TheStreet and Yahoo Finance market wraps — S&P 500 –1.52%, Nasdaq –1.74%, Dow –2.19%; 29 Jul 2026.
4. Microsoft Q4 FY2026 results coverage (GuruFocus, GeekWire, TradingKey) — revenue \$90.01bn +18%, adjusted EPS \$4.74 vs \$4.24 consensus; FY27 capex guidance \$255–260bn against ~\$190bn for calendar 2026; Azure guided 39–40% constant currency; 29 Jul 2026.
5. Benzinga and StockTitan, Meta Q2 2026 results — revenue \$60.8bn +28%; FY26 capex range raised to \$130–145bn from \$125–145bn; FY26 expenses \$165–169bn; operating costs +55%, operating income –8%; Q3 revenue guided \$61–64bn; shares –5% after hours; 29 Jul 2026.
6. MLQ News and CNBC, Alphabet Q2 2026 — Q2 capex \$44.9bn (double year-ago), FY26 guidance raised to \$195–205bn from \$180–190bn, cloud revenue +82%, CFO flagging significant 2027 increase, ~60% of infrastructure spend on servers; 22 Jul 2026.
7. Investing.com and TechTimes, SK hynix Q2 2026 — revenue KRW 79.32trn vs ~KRW 84trn consensus; operating income KRW 60.5trn, +557% YoY and +61% QoQ, both records; HBM4 mass production begun, ~10 long-term supply agreements; shares –13%; 28–29 Jul 2026.

8. FactSet Insight, "Hyperscalers Tap External Financing as AI Capex Outruns Cash Flow" — consensus capex \$384bn (2025) to \$682bn (2026E) to \$878bn (2027E); incremental annual debt 9% of capex in FY24 rising to 32% LTM by mid-2026; Bank of England July 2026 Financial Stability Report cited; hyperscalers over 15% of US investment-grade issuance YTD by early May; compute approximately 60% of the 2026 capex mix; useful-life debate of three-to-four versus five-to-six years; July 2026.
9. Epoch AI, "Hyperscaler Capex to Exceed Cash Flow by Q3 2026"; and PIMCO estimate of capex at ~94% of operating cash flow in 2026–27, as reported in the same coverage; July 2026.
10. Silicon Analysts and related coverage — combined hyperscaler free cash flow projected –91% to ~\$16bn in 2026 against net income +25% to ~\$506bn; ~\$760bn spent in 2026 against ~\$211bn depreciation recognised, leaving ~\$549bn on balance sheets; July 2026.
11. CNBC and Forbes — Apple briefly touched a \$5trn market capitalisation, second company ever, a day after passing NVIDIA as the most valuable listed company; Apple +25% year to date, attributed to rotation away from capex-heavy hyperscalers; 28 Jul 2026.
12. Robinhood / market data — NVIDIA \$196.92, market capitalisation approximately \$4.84trn; 29 Jul 2026.
13. Bloomberg market wrap — MSCI Asia benchmark +0.6%, Kospi +2.2%, US futures higher; WTI crude –3.9% to \$79.26 as Iran opened Strait of Hormuz talks with Oman and Saudi Arabia; 29–30 Jul 2026.
14. Trading Economics — gold \$4,080.76/oz, +0.36% on the day, roughly 28% below the 29 Jan 2026 intraday high of \$5,595.47; 30 Jul 2026. Included as context for the *Greed & Fear* gold recommendation noted above.

Update notes. Amazon and Apple report later this week; the capex picture for calendar 2026 is therefore incomplete at the time of writing. Consensus capex series differ by vintage and by which companies are included — two versions are shown above rather than reconciled to one. Meta's and Microsoft's figures reflect results released after Wednesday's close and had not been fully absorbed by cash markets when this edition was prepared.